



SKY HIGH

Financial Management

Year-End Tax Planning Checklist

Introduction

Effective tax planning should happen throughout the year — not only when preparing a tax return. Reviewing your financial situation before year-end can help you make informed decisions, manage cash flow, and identify available tax planning opportunities.

This checklist helps individuals and business owners review important areas before the end of the tax year.

1. Review Your Current Tax Situation

- ☐ Review your estimated annual income
- ☐ Identify your major sources of income:
 - Employment income
 - Business income
 - Investment and Rental income
 - Pension income
 - Other income sources
- ☐ Estimate your expected tax balance
- ☐ Review whether tax instalments may be required
- ☐ Discuss potential planning opportunities with a tax professional

2. Review RRSP Contributions

- ☐ Check your available RRSP contribution room
- ☐ Review RRSP contributions made during the year
- ☐ Consider whether additional RRSP contributions may reduce taxable income
- ☐ Keep RRSP contribution receipts
- ☐ Review RRSP strategies based on:
 - Current income
 - Future income expectations
 - Retirement goals

3. Review TFSA Contributions

- ☐ Check your TFSA contribution room
- ☐ Review TFSA withdrawals and contributions
- ☐ Consider whether unused TFSA room should be used
- ☐ Avoid over-contributions that may result in penalties
- ☐ Review investment strategies within your TFSA

4. Review Investments

- ☐ Review investment portfolio performance
- ☐ Gather investment statements
- ☐ Identify:
 - Capital gains/losses
 - Interest/Dividend income
- ☐ Consider whether selling investments before year-end may have tax consequences
- ☐ Maintain records of investment purchases and sales

5. Review Capital Gains and Losses

- ☐ Identify realized capital gains during the year
- ☐ Review available capital losses
- ☐ Consider whether losses may be used to offset gains
- ☐ Maintain documentation for:
 - Purchase/Sale dates
 - Purchase costs
 - Selling proceeds

6. Review Business Tax Planning Opportunities

(For business owners)

- ☐ Review business profitability
- ☐ Prepare updated financial statements
- ☐ Review:
 - Revenue
 - Expenses
 - Cash flow
 - Taxable income
- ☐ Consider:
 - Timing of expenses
 - Business purchases
 - Equipment purchases
 - Salary vs dividend strategies
 - Corporate tax planning
- ☐ Review upcoming tax obligations

7. Review Business Expenses

- ☐ Ensure all business expenses are recorded
- ☐ Collect missing receipts and invoices
- ☐ Review deductible expenses:
 - Advertising
 - Professional fees
 - Software
 - Insurance
 - Office expenses
 - Vehicle expenses
 - Travel expenses
- ☐ Confirm exp. are supported by proper documentation

8. Consider Major Purchases Before YE

(For businesses)

- ☐ Review planned purchases:
 - Equipment
 - Computers
 - Vehicles
 - Furniture
 - Software
- ☐ Consider timing of purchases and possible tax effects
- ☐ Keep all purchase invoices and supporting documents

9. Review Family Tax Planning

- ☐ Review changes during the year:
 - Marriage/Separation
 - New child
 - Retirement
 - Education expenses
 - Changes in dependants
- ☐ Review available credits and benefits
- ☐ Update CRA information if required

10. Review Charitable Donations

- ☐ Collect charitable donation receipts
- ☐ Confirm donations are eligible
- ☐ Review unused donation credits from previous years
- ☐ Keep official donation receipts

11. Review Medical & Other Tax Credits

- ☐ Gather eligible medical receipts
- ☐ Review possible claims:
 - Medical expenses
 - Disability-related expenses
 - Education expenses
 - Childcare expenses
 - Moving expenses (if applicable)
- ☐ Maintain supporting documents

12. Review Foreign Income and Assets

- ☐ Determine whether you have:
 - Foreign investments
 - Foreign bank accounts
 - Foreign rental income
 - Foreign employment income
- ☐ Review foreign reporting requirements
- ☐ Consider whether Form T1135 may apply
- ☐ Maintain foreign asset records

13. Organize Tax Documents

- ☐ Create a tax document folder
- ☐ Collect:
 - Income slips
 - Investment statements
 - RRSP receipts
 - Donation receipts
 - Medical receipts
 - Business records
 - Rental documents
 - Prior tax returns

- ☐ Keep digital copies of important documents

14. Review CRA Accounts

- ☐ Access CRA My Account or CRA My Business Account
- ☐ Review:
 - Notices of Assessment
 - Unused balances
 - Contribution room
 - Outstanding amounts
 - Correspondence
- ☐ Confirm direct deposit information

15. Prepare for the New Year

- ☐ Update your budget
- ☐ Review financial goals
- ☐ Adjust tax planning strategies
- ☐ Schedule regular bookkeeping and tax reviews
- ☐ Plan early instead of waiting until filing season

16. YE Tax Planning Mistakes to Avoid

- ☐ Waiting until tax filing time to review your situation
- ☐ Missing RRSP contribution opportunities
- ☐ Forgetting investment records
- ☐ Not planning business purchases
- ☐ Ignoring CRA notices
- ☐ Not keeping proper documentation
- ☐ Making financial decisions without considering tax consequences

17. YE Tax Planning Document Checklist

Before meeting your accountant, prepare:

- ☐ Previous tax return
- ☐ Notice of Assessment
- ☐ Income slips
- ☐ Investment statements
- ☐ RRSP contribution information
- ☐ TFSA information
- ☐ Business financial statements (if applicable)
- ☐ Rental property records (if applicable)
- ☐ Foreign income and asset information
- ☐ Major financial transaction details

18. Decisions to Review Before Dec. 31

- RRSP contribution decisions
- Investment gain/loss review
- Business equipment purchases
- Corporate compensation planning
- Charitable donations
- Tax instalment planning

Final Reminder

Tax planning is most effective when decisions are made before the year ends. Reviewing your income, investments, business activities, and financial goals can help you make better decisions and avoid unnecessary tax surprises.



Sky High Financial Management

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